

Commercial Equipment Lease Agreement

Effective Date: August 15, 2026

This Commercial Equipment Lease Agreement ("Agreement") is entered into between **Rajesh Patil** ("Lessee") and **Vertex Industrial Systems Pvt. Ltd.**, represented by **Amit Deshmukh** ("Lessor").

1. Equipment

The Lessor agrees to lease one industrial packaging machine to the Lessee for a period of **24 months**.

The equipment shall remain the sole property of the Lessor throughout the lease period.

2. Monthly Payments

The Lessee shall pay **₹45,000 per month** on or before the 5th day of each month.

If payment is delayed by more than 5 days, the Lessee shall pay a late fee of **₹3,000**, regardless of the reason for the delay.

If payment remains unpaid for more than 15 days, the Lessor may suspend the Lessee's use of the equipment without further notice.

3. Maintenance Costs

The Lessee shall be responsible for all routine maintenance, replacement parts, transportation, servicing, and repair costs associated with the equipment.

Even if a mechanical failure occurs during normal operation, the Lessee shall initially bear the repair expense.

The Lessor shall reimburse repair costs only where the Lessee can establish that the failure resulted directly from a manufacturing defect.

4. Damage to Equipment

The Lessee shall be responsible for any loss, theft, destruction, or damage to the equipment during the lease period.

If the equipment is damaged beyond economical repair, the Lessee shall pay the Lessor **₹8,00,000** as replacement compensation.

This obligation applies even if the damage is caused by an employee, contractor, visitor, or other person operating the equipment on behalf of the Lessee.

5. Early Termination

The Lessee may not terminate this Agreement during the first **12 months**.

If the Lessee terminates the Agreement before the end of the 24-month period, the Lessee must pay:

- All unpaid amounts already due;
- An early termination fee of **₹1,50,000**; and
- Any reasonable costs incurred by the Lessor to recover the equipment.

The Lessor may terminate the Agreement immediately if the Lessee fails to make two consecutive monthly payments.

6. Business Loss

The Lessor shall not be responsible for any loss of business, production, revenue, customers, or profits suffered by the Lessee because the equipment becomes unavailable.

This limitation applies even where the equipment is unavailable for several days because of a maintenance or repair issue.

7. Insurance

The Lessee shall maintain insurance covering theft, accidental damage, fire, and other risks associated with possession and operation of the equipment.

The Lessee must provide proof of insurance to the Lessor upon request.

Failure to maintain the required insurance shall constitute a material breach of this Agreement.

8. Inspection Rights

The Lessor may inspect the equipment during normal business hours by providing at least **24 hours' notice**.

The Lessee shall provide reasonable access to the equipment and related records.

9. Late Return Penalty

At the end of the lease period, the Lessee must return the equipment in substantially the same condition in which it was received, excluding ordinary wear and tear.

For every day the equipment remains in the Lessee's possession after the required return date, the Lessee shall pay **₹5,000 per day** until the equipment is returned.

10. Risk Allocation

The parties acknowledge that the majority of operational risks associated with possession and use of the equipment shall be borne by the Lessee.

The Lessor's liability shall be limited to the obligations expressly stated in this Agreement.

The Lessor shall not be liable for indirect or consequential losses suffered by the Lessee.

11. Default

If the Lessee breaches this Agreement, the Lessor may:

1. Terminate the Agreement;
2. Recover possession of the equipment;
3. Demand unpaid rent;
4. Apply applicable penalties;
5. Recover reasonable recovery costs; and
6. Pursue any other remedies available under applicable law.

12. Favorable Terms for the Lessor

The Lessee acknowledges that the following provisions provide additional protection to the Lessor:

- The Lessee bears most repair and maintenance costs.
- The Lessee bears the risk of theft and accidental damage.
- The Lessee cannot freely terminate the Agreement during the first year.
- The Lessee must pay a substantial early termination fee.
- The Lessor is protected against claims for business or profit losses.
- The Lessee must maintain insurance.
- Significant penalties apply for late payment and late return.

13. Governing Law

This Agreement shall be governed by the applicable laws of India.

Any dispute arising from this Agreement shall first be discussed by the parties in good faith. If the dispute cannot be resolved, the parties may pursue remedies before a court having appropriate jurisdiction.

14. Signatures

Lessee:

Rajesh Patil

Signature: _____

Date: _____

Lessor:

Amit Deshmukh

For Vertex Industrial Systems Pvt. Ltd.

Signature: _____

Date: _____